ISSUER REVIEW · 6M2026

Rīgas ūdens

Latvia · Water supply and wastewater utility (Riga)

OK

Position OK. A water utility owned by the City of Riga and rated A3 by Moody's[2]. 1H EBITDA EUR 19.7m (+25%), net debt / EBITDA 2.6x, equity ratio 71%, loan covenants met[3].

EBITDA · 6M2026	NET DEBT · 6M2026
19.7 EUR m	89.9 EUR m
▲ 25.5 % vs 6M2025	▲ 42.2 % vs 6M2025

NET DEBT / EBITDA · 6M2026	EQUITY RATIO · 6M2026
2.6 x	71.0 %
▲ 0.5x vs 6M2025	▼ 1.4 p. p. vs 6M2025

Quick summary

- **Results improving:** 1H revenue EUR 45.4m (+15%), EBITDA EUR 19.7m (15.7m), net profit EUR 4.3m (0.5m); tariffs raised from 2025-12-01[4].
- **Investment and debt rising:** EUR 24.1m invested in the half year, net debt EUR 89.9m, net debt / EBITDA 2.6x (2.1x); the 2025-2028 investment programme is EUR 235m[5].
- **Covenants met:** DSCR 3.9 (target 2.0), interest coverage 14.2[3].
- **More funding:** a new prospectus approved for up to EUR 40m in the next bond tranche (planned for Q4), a EUR 50m NIB facility signed; the regulator raised the allowed return on capital to 6.28% from 2027[6,7].

Key facts

ISSUER RATING
Moody's A3, stable outlook (affirmed 2026)[1]

ANALYSIS DATE
2026-10-22

NEXT REPORT
9M 2026 interim report - 2026-11-27

COUNTRY
Latvia

Securities held

Rīgas ūdens 4% green bond 2030
LV0000104487 · 4.0% · 2030-06-04
Green bond · no separate rating found

01 Instruments held and ISINs

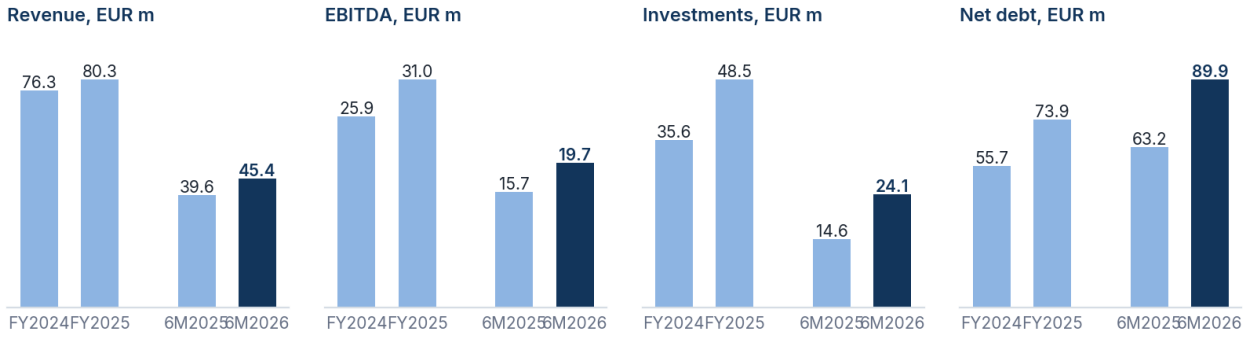
ISIN	INSTRUMENT	COUPON	MATURITY	ISSUE RATING	NOTE
LV0000104487	Rīgas ūdens 4% green bond 2030 Green bond	4.0%	2030-06-04	no separate rating found	EU Green Bond (EuGB) standard, first tranche of a EUR 60m programme; quarterly coupons; listed 2025-06-05

02 Key ratios

METRIC	FY2024	FY2025	6M2025	6M2026	CHANGE
Revenue, EUR m[8,9]	76.3*	80.3*	39.6*	45.4*	▲ 14.6 % vs 6M2025
EBITDA, EUR m[8,9]	25.9*	31.0*	15.7*	19.7*	▲ 25.5 % vs 6M2025
Net profit, EUR m[8,9]	-18.3*	0.59*	0.5*	4.3*	▲ 3.8 EURm vs 6M2025
Investments, EUR m[8,9]	35.6*	48.5*	14.6*	24.1*	▲ 65.1 % vs 6M2025
Net debt, EUR m[8,9]	55.7*	73.9*	63.2*	89.9*	▲ 42.2 % vs 6M2025
Net debt / EBITDA[8,9]	2.2x*	2.4x*	2.1x*	**2.6x***	▲ 0.5x vs 6M2025
Equity ratio[8,9]	74.5%*	70.7%*	72.4%*	**71.0%***	▼ 1.4 p. p. vs 6M2025
Debt service coverage (DSCR)[8,10]	–	3.7x*	–	**3.9x***	▲ 0.2x vs FY2025

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (internal benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – own calculation. Small numbers next to text link to the source (opens the document at the cited page).



03 Business performance review

- The service contract with Riga City runs to 2029-07-23; tariffs are set by the Public Utilities Commission (water EUR 1.41/m³, sewerage EUR 1.26/m³, treatment EUR 0.40/m³ excl. VAT)[11].
- On 2026-03-25 the Riga City Council decided to keep its direct shareholding[12].

04 Financials

- FY2025 revenue EUR 80.3m, EBITDA EUR 31.0m, profit EUR 0.6m; the 2024 loss of EUR 18.3m was due to asset revaluation[8].

- Equity EUR 536.3m, total assets EUR 755.3m[9].

05 Past plans vs outcomes

PLAN / TARGET	OUTCOME	WHAT CHANGED AND WHY	STATUS
Investment programme 2025-2028: EUR 235m	30.88% used by mid-2026[13]	On track[13].	**In progress**
Green bond programme of up to EUR 60m	EUR 20m issued (2025); next tranche of up to EUR 40m planned for Q4 2026[14,1]	In progress: the 2025 issue was 228% oversubscribed[14].	**In progress**
DSCR of at least 2.0 (2026 target)	6M 2026: 3.9[10]	Met[10].	**Met**

06 Investor information & conclusions

- **Instrument held:** a 4% green bond (EU Green Bond Standard), EUR 20m, quarterly coupons, maturing 2030-06-04[15]. All proceeds allocated to EU taxonomy-aligned projects (Sustainable Fitch review)[1].
- **Credit quality:** Moody's A3, municipal ownership, regulated tariffs and a high equity ratio[16].
- **Conclusion:** low risk; debt is rising with investment, but metrics are well above covenant limits.

07 Market and environment

- **Tariffs:** revenue +14.7%, mainly due to new water tariffs from 2025-12-01[9]. Treated wastewater -8.9% on lower rainfall, water sold +0.9%[17].
- **Investment and debt:** a record EUR 24.1m of investment was debt-financed, lifting net debt/EBITDA to 2.6x[18]. Costs may be affected by inflation and energy prices; the Bank of Latvia forecasts 3.6% inflation in 2026[19].
- **Next issue:** up to EUR 40m of green bonds planned for Q4 2026, subject to market conditions[1].

	NOW	3 MONTHS AGO	12 MONTHS AGO	12-MONTH CHANGE
ECB deposit facility rate	2.50% (2026-09)	2.25%	–	–
3-month Euribor	2.64% (2026-09)	2.34%	2.03%	▲ 0.61 p. p.
6-month Euribor	2.92% (2026-09)	2.60%	2.10%	▲ 0.82 p. p.
12-month Euribor	3.25% (2026-09)	2.80%	2.17%	▲ 1.08 p. p.
Euro area AAA government 10-year yield	3.38% (2026-10)	3.23%	2.72%	▲ 0.66 p. p.
Euro area inflation (HICP, annual)	1.90% (2025-12)	2.20%	2.40%	▼ 0.50 p. p.

Euro area rates and inflation (ECB data, end-of-month value; Euribor and inflation – monthly average). Relevant for floating-rate and reset bonds and refinancing costs.

08 In the press

Automatic news scan (Google News, LV), 2026-07-25 – 2026-10-23: 3 articles.

2026-10-16	OTHER	Svarīgs paziņojums no "Rīgas ūdens" NRA

2026-09-28	OTHER	"Rīgas ūdens" veiks vērienīgus skalošanas darbus: kurās apkaimēs jārēķinās ar ūdens duļķainību un pārtraukumiem 1188.lv
2026-09-27	OTHER	"Rīgas ūdens" līdz oktobra sākumam plāno atjaunot ap 120 ūdensvada un kanalizācijas lūku 1188.lv

09 ESG report

EXCLUSIONARY SCREENING (COMPANIES)

- ✓ **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
  - Water supply and wastewater treatment: no activity in excluded sectors[12].

- ✓ **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
  - No UN Global Compact or OECD related controversies or environmental fines found.
  - Treatment plant overload 0.34% (limit 2%)[20].

- ✓ **Yes, the company is not in the list of sanctions (add a screenshot)**
  - Not found on the EU, UN, UK, US OFAC consolidated sanctions lists (automatic check 2026-10-23).

- ✓ **Yes, issues were not identified from adverse media checks (add a screenshot)**
  - No adverse news found (2026-10-22).
  - Following odour complaints in the Vārnukrogs area, a sludge store was covered in December 2025[7].
  - News summary 2026-07-25 – 2026-10-23: 3 articles, 0 with an adverse keyword in the headline (details in the section "In the press").

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

- ✓ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**
  - Green bond under the EU standard, proceeds for wastewater treatment (94%) and solar PV (5%)[14]
  - PFAS treatment pilot[21].

- ✓ **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
  - 100% of bond proceeds allocated to EU taxonomy-aligned projects[1].

- ✓ **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**
  - No yellow flags found.
  - The company itself names impact areas: GHG leakage, treatment during heavy rain, micropollutants, water losses[22].

- ✓ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

  Applicable
  - The Investments policy[23] and the Environmental policy on climate, nature and water[24].

  Met
  - EU Green Bond Standard with external review[1]
  - Wastewater treatment within limits[20]
  - Material impacts disclosed[22].

Additional comments:

ENGAGEMENT

– **Is there a need for pro-active engagement with the company?**
- No need: a regulated municipal company with a green investment programme.

Additional comments:

INDICATORS

✓ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**
- Treatment plant overload 0.34%[20]
- 100% of bond proceeds to taxonomy-aligned projects[1]
- Renovate 90 km of water mains and 55 km of sewers by 2030[25].

Additional comments:

Conclusion: No exclusions or red flags. EU-standard green bond financing wastewater treatment investment.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

10 Sources

1. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 5, 2026
2. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 5, 10, 2026
3. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 17-18, 34, 2026
4. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 18-19, 22, 2026
5. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 12, 18, 2026
6. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 5, 43, 2026
7. Rīgas ūdens - Annual report 2025 (audited), p. 28, 2026
8. Rīgas ūdens - Annual report 2025 (audited), p. 17, 2026
9. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 18, 2026
10. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 17, 2026
11. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 10, 22, 2026
12. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 10, 2026
13. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 12, 2026
14. Rīgas ūdens - Annual report 2025 (audited), p. 20, 2026
15. Rīgas ūdens - Annual report 2025 (audited), p. 20-21, 2026
16. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 5, 17, 2026
17. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 15, 8, 2026
18. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 18, 8, 2026
19. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 6, 2026
20. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 15, 2026
21. Rīgas ūdens - Annual report 2025 (audited), p. 5, 2026
22. Rīgas ūdens - Annual report 2025 (audited), p. 48, 2026
23. SEB Policy on Sustainability Considerations in Investments (2026-04-15), 2026-04-15
24. SEB Environmental Policy on Climate, Nature and Water (2026), 2026
25. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 32, 2026

Report prepared from public sources. Figures are as published by the issuer; small numbers next to the text point to the source list.